Article | 5 June 2026

UNITED STATES

Firm US jobs numbers boost rate hike chances, but lack of breadth remains a concern

Yet another stronger-than-expected US jobs number in an environment of rising inflation is fuelling expectations of a Fed rate hike before the end of the year. Nonetheless, there is a lack of breadth in job creation and wage growth is slowing, meaning household finances are coming under increasing pressure

A stronger-than-expected jobs number in May, but wage growth is slowing and rising inflation is fuelling a Fed rate hike expectation before year-end

172,000 **Jobs added in May**

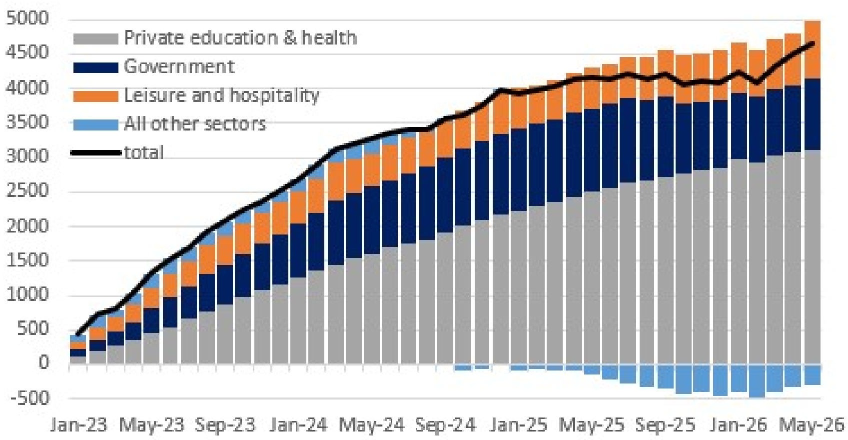
Better than expected

Payrolls boosted by the usual 'big 3'

The May jobs report is strong, with non-farm payrolls rising 172k versus the 88k consensus expectation, plus there were 93k upward revisions to the past two months' data. Private payrolls are up 120k versus 89k expected, while government added 52k. Meanwhile, the unemployment rate remained at 4.3% and wage growth slowed to 3.4% from 3.6%.

The breakdown shows that it is the usual three sectors of leisure & hospitality (+70k), government (+52k) and private education and healthcare services (+40K) that are generating the gains. That means every other sector of the US added just 10k jobs in total. The chart below shows that these 'big 3' sectors have accounted for every single one of the jobs added since December 2022. All other sectors – manufacturing, technology, energy, retail, transport and logistics, financial services, business services, etc, have lost jobs on balance over the past 3 and a bit years. So, while this is a very good report at the headline level, the lack of breadth to the job creation story remains an important theme.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Fed hike expectations build, but there is a long way to go

It is possible that the remarkably strong leisure & hospitality number was boosted by the World Cup that starts next week, but it feels a little early. Moreover, the 51k rise in local and state government looks a little too strong in the current environment. The elephant in the room is why is the official jobs data are so strong when business surveys, such as the ISM reports, indicate falling employment while the Challenger Report from earlier in the week continued to point to net losses and the daily vacancy numbers from Indeed continue to grind lower?

The household survey, which is used to calculate the unemployment rate, is more consistent with those private sector surveys. It showed employment gains of 149k in May, but that follows four consecutive months of declines while noting the median duration of unemployment increased to 11.6 weeks.

Despite the lack of consistent messaging in the labour market data, we now have a rate hike fully priced at the December FOMC meeting. That is understandable given the Fed's hawkish pivot and the hot inflation prints of recent months. Conviction may increase further with Wednesday's CPI print expected to show headline inflation rising to 4.2% from 3.8% and core CPI edging up to 2.9% from 2.8%. Nonetheless, the squeeze on household spending power is intensifying with real household disposable incomes having fallen for three consecutive months and consumer confidence remaining close to all-time lows. There is a long way to go before the end of the year, and we still lean in the direction of eventual rate cuts assuming a deal can be reached to reopen the Strait of Hormuz.

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Article | 5 June 2026

FX RATES

June ECB cheat sheet: How to train your hawks

Here are our four scenarios for the 11 June ECB meeting, alongside implications for rates and FX. We think the ECB s current priority is solidifying markets expectations on further tightening to hedge against inflation expectations de-anchoring. Our baseline is therefore a hawkish hike, with some indications the bank is prepared to raise rates again

This is our market preview of June's ECB meeting; you can find our macro team's preview here.

Scenario analysis: How to position for Lagarde's alternatives

	Inflation outlook	Growth outlook	Interest rates		
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.160)	10Y Bund (3.00%)
Dovish	Recent easing in energy prices somewhat reduces risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	**25bp hike.** Must be careful not to overtighten – implicit hints of 'one and done'	1.150	3.00%
Neutral	Reiterating April views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, have increased somewhat since April	**25bp hike.** Not giving any new guidance. Reiterating wide optionality on rates	1.158	3.00%
Hawkish ING base-case	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Placing less emphasis on lingering growth risks, and more on inflation	**25bp hike.** Opening the door more explicitly to further hikes in coming months	1.165	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	**25bp hike.** Strong signal this is the start of a rate hike cycle, next one possible in Jul	1.170	3.15%

The ECB is set to hike rates by 25bp on 11 June. Recent communication has effectively pre-committed markets to this outcome. A hold would come as a shock and carry significant risk for a central bank trying to avoid a repeat of the 2022 inflation crisis.

As such, our four scenarios for this meeting (above) exclude anything other than a 25bp move. A 50bp hike could be included as an ultra-hawkish outcome, but there is already additional tightening priced in for later this year, which means shocking markets now seems unnecessary.

Focus on keeping markets hawkish

Markets are fully pricing in a 25bp hike, so focus will be on forward-looking language – effectively a reality check on the 64bp of total tightening priced in by year-end. The Governing Council and President Christine Lagarde will, in our view, share a key objective: to preserve these hawkish market expectations.

That's because the June move looks more like insurance than conviction. The risk of second-round inflation effects remains as hard to estimate as the next chapter for the Gulf conflict and energy prices. Inflation forecasts, typically central to the ECB reaction function, are now heavily driven by oil prices and therefore less reliable in this environment. We think the real battleground for the ECB now is inflation expectations. They are a function of rate expectations, and unless the ECB keeps those hawkish, it risks de-anchoring.

So our baseline is a hawkish hike at this June meeting. Not so much because the ECB is necessarily planning or willing to commit to another hike in July, September, or the fourth quarter, but because it is the most prudent play as it waits for clarity on geopolitics, energy, and the data. Our macro team has acknowledged rising risk of a follow-up move in September, but our baseline remains that this June hike is a one-and-done.

Rates: ECB should tread carefully to keep inflation expectations anchored

Markets are already fully pricing in this hike, but we think a confirmation could still add more upward pressure on the curve. When paired with forward guidance about future hikes, we see rates nudge slightly higher. More emphasis on inflation risks could increase markets' pricing of inflation too, adding to the upward pressure.

A (too) dovish outcome risks feeding future inflation expectations, paradoxically adding upward pressure on rates further out the curve. This would entail a significant steepening with 2-year rates edging lower on less tightening, but a sticky 10-year rate on the back of inflation concerns further out the future. A 'one-and-done' narrative would strongly push against the positioning of current markets, which have already priced in a second hike by September. The ECB should therefore likely prefer to come across as too hawkish rather than too dovish.

Markets are also sensitive to the growth outlook and have been moving on ECB comments regarding the risks. So far, market sentiment has been very positive, helped by strong US equity performance. But the balance is fragile and an ECB voicing more worries about the growth outlook could pose some downward pressure across the entire curve.

FX: ECB hawkishness can reinforce floor for EUR

Short-term rate differentials have regained explanatory power in our EUR/USD short-term fair value model. That is likely a result of a hawkish Fed repricing while ECB tightening bets were being questioned. The rewidening in the EUR:USD two-year swap rate differential has been sizeable – roughly 25bp since end-April.

That differential is now pointing down for EUR/USD – other things equal – but still allows for a spot at 1.160+ as long as oil remains well-behaved. A hawkish ECB hike on 11 June should keep that equilibrium in place. It would also increase the upside potential for EUR/USD if the Strait of Hormuz reopens, counting on a higher base for EUR short-term rates.

So, if we are right with our baseline view, there are upside risks on meeting day for EUR/USD, with a firmer near-term outlook. We remain slightly bullish into summer, targeting a gradual move back to 1.180 in a de-escalation scenario.

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Article | 3 June 2026

A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting

Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.

Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

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Article | 9 June 2026 FX

FX Daily: Dollar consolidates recent gains

It has been a mildly better 24 hours for risk assets, with tech stocks showing a little more stability and the Asian currency complex lifted by stronger trade data in China. Expect more consolidation today given very little data and the blackout period ahead of the ECB and Fed meetings. Expect the dollar to remain supported on dips

The dollar should remain supported on dips

USD: More consolidation

The good news for investors is that Friday's sell-off in tech stocks saw little follow-through selling yesterday. And overnight, some of those stocks which led the sell-off, such as the Korean chipmakers, have bounced back strongly. It does seem the creation of leveraged ETFs on these Korean chipmakers has added to volatility, including these leveraged products falling even when the underlying stocks they are tracking are rising.

The volatility of tech stocks, however, looks to be a distraction to the dominant cyclical story in FX markets, which is the potential for the Fed to tighten policy. Last week was all about the strength of the US labour market and this week the market will be focused on US price data. This starts with tomorrow's May CPI and is followed by PPI on Thursday. The market looks positioned for some firm data here and a far less dovish FOMC meeting in a week's time.

Today's focus is on the NFIB small business optimism data, the weekly ADP jobs data and the April trade balance. On the subject of trade, China released another healthy set of trade data overnight, which is lending some support to the renminbi and the Asian currency complex in general. On a related subject, the US Treasury market should take note of likely FX intervention across a large swathe of Asia and what it means for US Treasury sales. Fed custody holdings data show another $71bn decline in foreign official holdings of Treasuries since the start of May – which will add further pressure to the market.

DXY is consolidating after a strong rally on Friday, and we would expect it to find support around the 99.80 area before another look at the upside later this week.

Chris Turner

EUR: Holding pattern ahead of US CPI and ECB

The slightly better risk environment is taking some steam out of the dollar's rally and is helping EUR/USD to correct some of Friday's heavy losses. 1.1500 now looks like important support, and the top of a short-term trading range may well prove the 1.1555/60 area if the bullish dollar theme is to remain dominant.

We have just seen some German industrial production for April, which has proved marginally better than expected. However, our eurozone macro team warn that activity could take a turn for the worse over the coming months once this precautionary inventory building has run its course.

Thursday's ECB meeting could present some upside risks for EUR/USD – but we will need to get through US CPI data first.

Chris Turner

CHF: Higher rate environment is CHF bearish

Despite uncertainty in the Gulf, EUR/CHF has crept back up to the 0.92 area. Driving this move, we believe, is the sell-off in the interest rate market, where Swiss market interest rates lag any global trends. Our team sees the risk of a hawkish ECB meeting this Thursday, which means that the pricing of three rate hikes over the next 10-12 months can stick.

In the background, the Swiss National Bank continues its position of an increased willingness to intervene in FX markets. First quarter FX intervention data will be released on 30 June and will likely show a decent pick-up after a very quiet couple of years for the SNB in this space.

The above should keep EUR/CHF supported near 0.92 and the surprise package would be a move to 0.93 on a hawkish ECB story.

Chris Turner

HUF: Inflation confirms that NBH rate cuts are a done deal

Inflation in Hungary in May came in at 1.8% YoY, below market expectations (2.2%) and below the 3% forecast in the National Bank of Hungary's March inflation report. This confirms that Hungary remains in its idiosyncratic story since the April elections and the combination of sharp FX appreciation and price shields is keeping inflation low despite the pro-inflationary global story. The start of an easing cycle in June seems like a done deal, and we expect 25bp to 6.00%. For the rest of the year, our economists see 75bp of easing overall, but today's soft CPI data can probably see the market pricing more than that.

Yesterday's headlines from Governor Zoltan Kurali suggest that easing is coming, but the central bank does not want to rush. This means we cannot expect any bigger steps than 25bp. The June NBH meeting is only two weeks away and the global situation could still change in the meantime. However, the risk is rather on the positive side for Hungary given the escalation of the Middle East conflict over the weekend and the stronger US dollar at the moment.

Meanwhile, EUR/HUF is showing admirable stability at 355 despite the deterioration of global sentiment. As long as EUR/HUF remains stable or grinds down, we believe that conviction regarding NBH rate cuts is growing. At the same time, we maintain 350 EUR/HUF as the target in our mid-year forecast.

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Article | 8 June 2026

CZECH REPUBLIC

Czech industrial output remains far from full strength

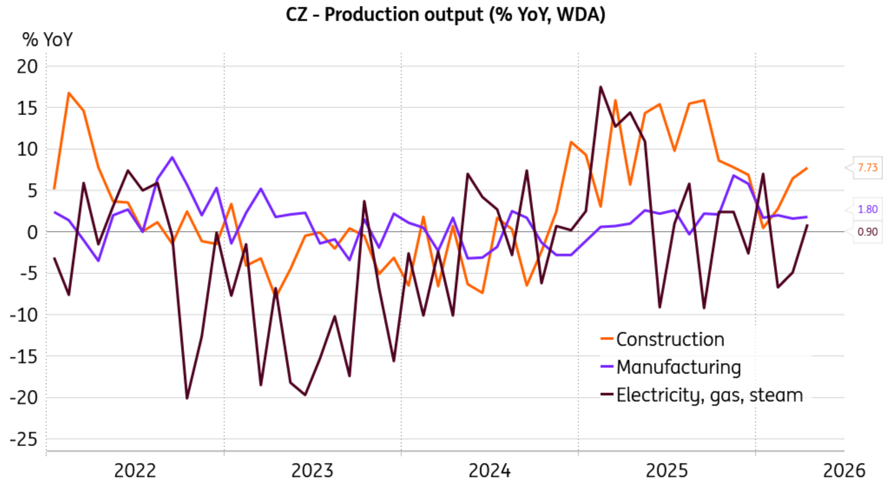
Industrial output continued to expand in April, yet the overall dynamic remains rather benign. Continued distortion in the housing market and rapid credit growth argue for tighter policy. However, there are also reasons to keep rates unchanged, which remains our base case. That said, we stand ready to adjust our view in response to more hawkish signals

Czech real industrial production came in above expectations in April but we think the Middle East conflict is starting to bite

Production expands amid subdued capacity utilisation

Czech real industrial production gained 1.5% year-on-year in April and 1.4% month-on-month when adjusted for the number of working days, coming in well above market expectations yet broadly in line with the ING view. We think the Middle East conflict will start to bite, albeit with a delay, perhaps from late 2Q26 onward. The nominal value of new orders grew by 2.7% YoY, with foreign new orders adding 3.5% and domestic ones higher by 1.1% from a year earlier. The value of new orders gained 3.3% MoM in April. Construction output increased by 7.7% YoY and picked up by 0.6% MoM in April.

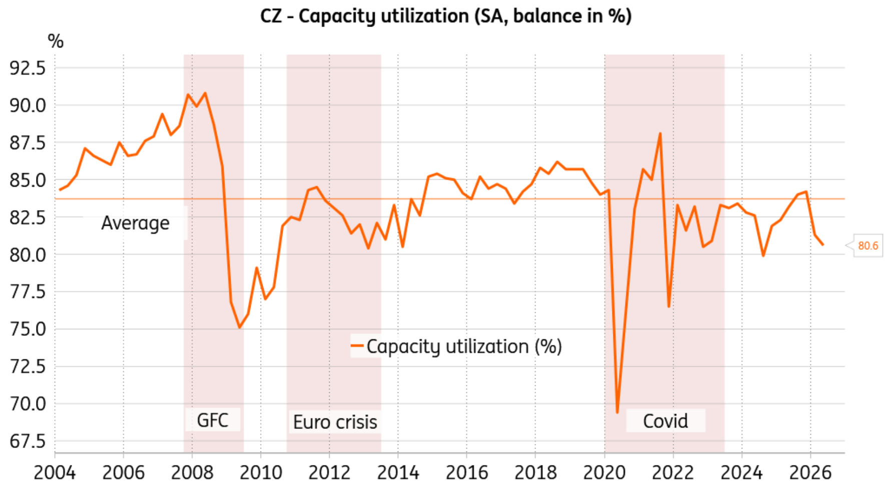
Manufacturing lags behind construction output



Source: CZSO, Macrobond

However, the average number of employees in industry fell 1.0% YoY in April and nominal wage growth slowed down to 5.8% YoY. Average employment in construction picked up by 2.1% YoY in April, while nominal wage dynamics eased significantly to 2% YoY in the same month. We saw accelerating wages in both industry and construction throughout the first quarter of the year, followed by softening in April. We believe that wage dynamics are going to come under pressure in the coming months, as firms face higher energy and material input costs coupled with elevated global competition.

The economy seems to have reserves



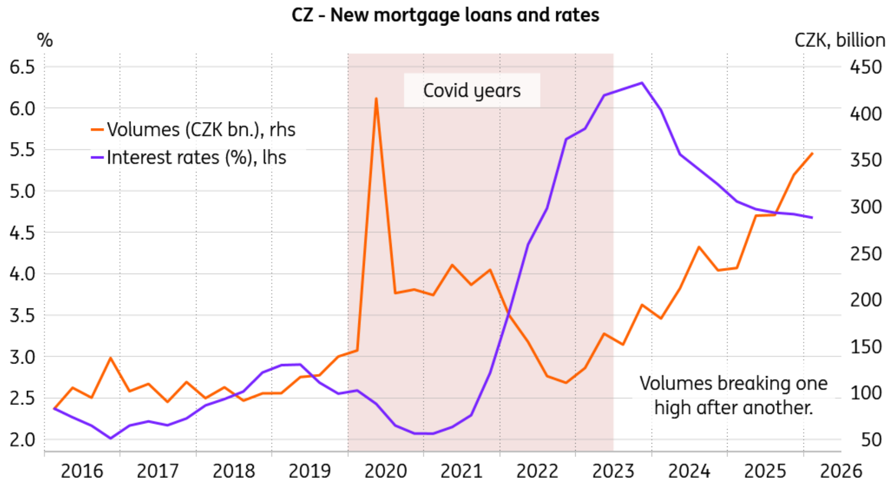
Source: Macrobond

The long-term average of the annual growth pace of industrial production is 2.5% in real terms. Meanwhile, in times when the economy is doing well and grows at 3.6% YoY on average, such as between 2014 and 2019, real industrial production also rises by 3.6% annually on average. So, with April's 1.5% annual growth rate and risks of a slowdown ahead, we remain far from operating at full capacity. This is also reflected in the latest capacity utilisation survey, which shows that the Czech economy used around 80% of its production capacity in 2Q26, well below the long-term average of 83.7% and the peak levels seen in 2008 and 2018.

Strong housing market and credit offer reasons for a hike

We still see the residential market remaining in a boom phase, with the annual price growth of flats softening only slightly to 12.9% in 1Q26 on average. Based on realised transaction prices, annual growth stabilised at around 16% last year. Data for 2Q will be available next Monday. In any case, annual rent growth has remained above 5% since January, marginally increasing. Volumes of new mortgages have continued to break successive highs, while loans to households continued to expand by more than 9% in April.

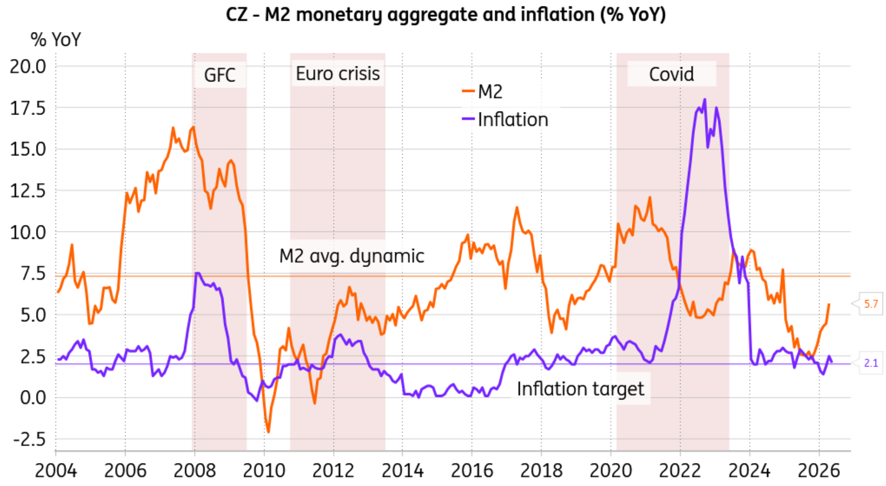
New mortgages fly high



Source: CNB, Macrobond

Indeed, rapid credit growth argues for a tighter monetary policy stance, especially as such strong dynamics in household borrowing have only been observed, since 2010, in the wake of pandemic-related distortions. Moreover, ample credit creation means more liquidity circulating in the economy, and we see that annual growth in the M2 monetary aggregate accelerated to 5.7% in April. While this pace remains below the long-term average of just over 7%, it could approach that level if borrowing appetite remains strong and continues to feed through into new lending in the near future.

M2 is cointegrated with CPI and picks up



Source: CNB, Macrobond

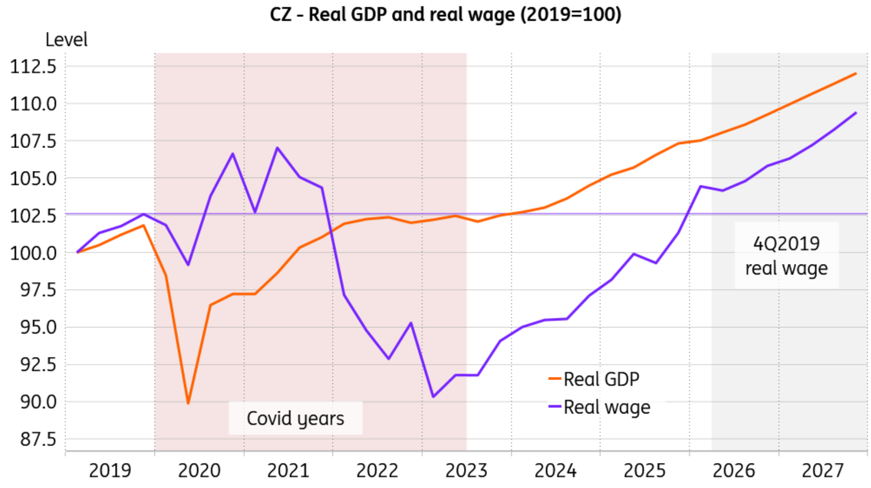
And as we know together with Milton Feedman's $MV = PY$ (where M is money supply, V is velocity of money, P is price level, and Y is real output): Persistent inflation is always and everywhere a monetary phenomenon. So yes, excess demand over supply in the housing market, together with buoyant credit growth, provides a solid rationale for proceeding with a rate hike in June.

And yes, M2 and CPI are well cointegrated and therefore tend to move together over the longer term. Moreover, our econometric test confirms a clear one-way Granger causality from M2 towards CPI, leaving little doubt that money in circulation is closely related to the overall price level. The question remains whether we are in a period of persistently high inflation right now or whether this remains a risk further along the monetary policy horizon.

Real wages catch up with economic performance

Solid wage dynamics of 8.1% in 1Q26 represent another potential reason to hike in June. However, there are a few caveats. First quarter wage growth was reached partially on the back of previous downward revisions, so it is not really elevated when assessed in level terms. Also, the real wage level has just surpassed its pre-Covid level but is still not above the peaks of the Covid years. Also, given the sharp and protracted deterioration in real wages during 2022 and 2023, real wages are just catching up to real GDP performance since 2019.

Real wages make up for preceding losses



Source: CZSO, ING, Macrobond

For sure, the punchy first quarter wage growth lifts our wage outlook to 7.3% in nominal terms and to 5% in real terms for this year, which is well above the assumed 2% real economic expansion. At the same time, we see this growth figure as being at risk of a potential downward revision should the impact of the Middle East conflict become tangible in the real economy. We also expect real wage dynamics to move much closer to real GDP growth over the next year. So, does the sanguine 1Q26 wage growth figure represent a reason for tighter monetary policy? Well, we are not convinced, as we don't see any kind of wage-price spiral unfolding right now or when looking ahead. Still, the strong wage growth in 1Q26 could provide some additional justification for a higher policy rate, if desired. Let's treat the wage issue as a borderline case.

Reasons to keep rates unchanged

Meanwhile, there are reasons to keep rates unchanged. We take the stance that the Czech economy is not in an overheating phase from 1Q26 and will stay below its potential at least until early next year. Also, with headline inflation close to the target and the core rate decelerating, we don't see an imminent risk of persistently high inflation when looking ahead. On the contrary, we still expect the negative effects from the Middle East conflict to hit the global economy, with profound consequences for Czech exporters, overall economic performance, and the health of the labour market.

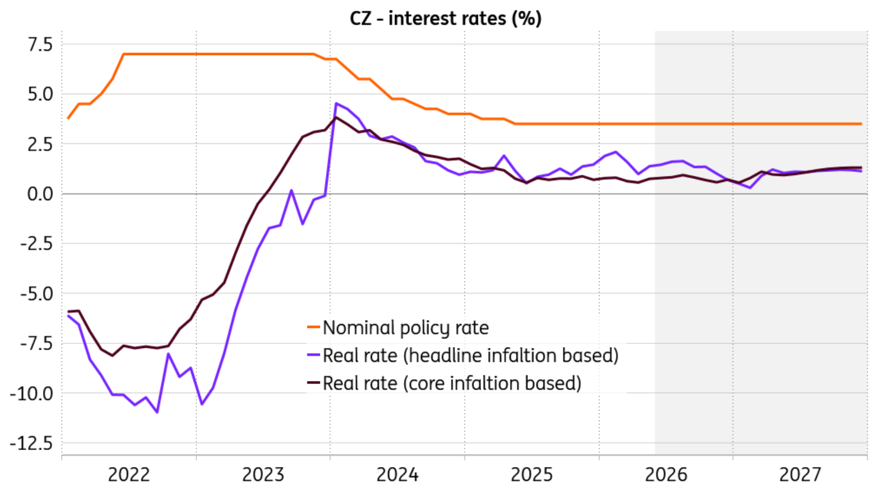
There is also a relatively new development: Czech government representatives have been openly complaining about what they see as an overly tight monetary policy stance, particularly compared with the European Central Bank.

We take the view that somewhat higher rates give the CNB room to adopt a genuinely prudent wait-and-see strategy in the face of a negative global supply shock, as it has done until now. We see this as a monetary policy dividend that the CNB has managed to preserve, unlike some other central banks.

However, should the CNB proceed with a hike, as recent hawkish comments suggest, questions may arise as to whether this is a counterreaction to government pressure. This would bring the issue of the CNB's independence back into the spotlight. After all, a counterreaction is still a reaction.

All in all, while the government is of course entitled to comment on the CNB's stance, such interactions are always delicate and tend to have unintended consequences and lingering aftereffects.

Real rates set to remain in the restrictive area



Source: CNB, ING, Macrobond

Our baseline view remains unchanged for now: we expect the policy rate to stay on hold at least until August, which we consider the optimal setting given current economic conditions and the outlook. But what we think is one thing, how individual board members perceive the situation, outlook, and risks is another. And ultimately, the outcome will depend on how the voting process plays out. Should we witness more hawkish comments and a shift towards some of the arguments we have outlined in favour of a hike, we would quickly adjust our expectations towards somewhat tighter monetary policy. But only modestly.

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Article | 8 June 2026 FX

FX Daily: Fed pricing and tech indigestion bolster dollar

The dollar is enjoying broad support. Bearish flattening of the US yield curve as the market moves to price Fed tightening and a tech-led sell-off in risk assets are the main culprits for the move. We see these two factors continuing to dominate in a week that sees the release of US CPI for May on Wednesday and a likely SpaceX IPO on Friday

Hawkish Fed pricing and a tech-led sell-off in risk assets should continue to keep the dollar supported

USD: Fed pricing and risk-off mood to keep the dollar bid

Friday saw one of the cleanest and broadest dollar advances in quite a while. The core driver of the move was the strong US jobs report, which has raised expectations that this year's energy inflation shock is landing on fertile ground for second-round effects. The market is pricing close to 30bp of Federal Reserve tightening this year and 50bp of tightening by the second quarter of 2027.

At some point, that expected tightening will be too aggressive, but we cannot see that story being unwound this week. This is because it is another week for US price data, where the May headline CPI reading is expected to push through 4% year-on-year, and PPI final demand should remain near 6% YoY. We are now also in a Fed communication blackout period ahead of the 17 June FOMC meeting, meaning there is little to no scope for the Fed doves to push back against this pricing. In fact, we see the dollar staying bid into that FOMC meeting, given the market expects the central bank to remove its implicit easing bias.

At the same time, growing expectations of Fed tightening have caught an investor base overweight equities and overweight emerging markets. As we discussed in an article on Friday, it looks like investors might be selling off benchmark tech names to clear room in portfolios for Friday's $75-85bn SpaceX IPO. There could also be an issue of indigestion here as well, given that Alphabet recently tapped the equity market for $85bn, and OpenAI and Anthropic also plan to IPO in the coming months. We see the Swedish krona and the Israeli shekel as the most tech-sensitive currencies in the G10 and EM spaces, respectively.

An unwind of risk assets and especially an unwind of emerging market positions is normally dollar-positive. This probably adds weight to US Treasuries as well, given that emerging market nations (and presumably Japan again sometime) will be liquidating Treasuries for FX intervention operations. One further source of dollar selling this week could come from Korea's National Pension Service. In exceptional times, it can increase its benchmark 15% hedge ratio on foreign assets and has said that it is doing so today. As of April, it held over $400bn of foreign equities and bonds – a big chunk of which is presumably in the US.

The geopolitical backdrop is also shifting dollar-positive, with most surprised that Brent is not trading even higher now that Iran and Israel are directly exchanging fire.

DXY should stay bid and looks biased to test resistance in the 100.25/65 area. The dollar's recent strength is a reminder that cyclical rather than structural factors continue to dominate.

Chris Turner

EUR: ECB to provide some rearguard support for the euro

EUR/USD was hit hard on Friday as the dollar surged across the board. This increases pressure on the European Central Bank to sound hawkish this Thursday when it is widely expected to raise its deposit rate 25bp to 2.25%. A hawkish-sounding ECB is our call, and one which will maintain the view that it will hike again in September when it has a new round of forecasts.

On the activity side, we have already seen a weak batch of German factory orders data for April today, and the risk is that eurozone manufacturing activity data now starts to deteriorate after hoarding/inventory building earlier this year around the uncertainty of the Gulf conflict.

With energy prices starting to turn bid again, expect EUR/USD to stay offered and 1.1500 to remain under pressure. At this stage, we probably think support in the 1.14/15 region has a chance of holding this summer, but it will remain pressured while the market explores the idea of a Fed tightening cycle.

Chris Turner

GBP: BoE will try to avoid tightening

It looks as though the Bank of England will try to avoid tightening this year. The market expects relatively little of the Bank this summer, but does price 21bp of tightening at the September meeting. Friday's release of inflation expectations data amongst the corporate community also gives the BoE some confidence that second-round inflation effects are less likely.

In theory, EUR/GBP should be trading higher if the BoE is dragging its feet on tightening at a time when the ECB is about to hike and the data is prompting a rethink on the Fed's position. Equally, sterling is generally seen as a pro-risk currency with a large financial sector, meaning that it generally underperforms in a risk-off environment.

Given what should be a hawkish ECB meeting this week and a vulnerable equity environment ahead of large forthcoming supply, we favour EUR/GBP making a move back to 0.8680, while GBP/USD can test 1.3300 and has outside risk to 1.3200 this week.

Chris Turner

CEE: Zloty seems most exposed amid risk-off mood

Global headlines and hawkish US repricing continue to drive the regional story, while the busy CEE calendar is having only a limited impact. In the Czech Republic, the release of today’s May industrial production data comes after mixed signals in recent days ahead of the June Czech National Bank meeting. Recent board comments suggest the meeting remains live – meaning that policymakers haven't ruled out a move – and we may hear more this week before the blackout period begins next week.

In Hungary, tomorrow’s May inflation release should confirm that low inflation remains unchanged at 2.1% YoY. With the National Bank of Hungary meeting in two weeks, we expect a 25bp rate cut, and Tuesday’s print should reinforce current market pricing.

On Wednesday, the final Czech inflation print should confirm a decline to 2.1% YoY, although the focus will be on core inflation, which we expect to stay at 2.8-2.9%.

On Thursday, the Central Bank of Turkey is expected to keep rates unchanged at 37%. The bank has signalled that policy will remain on hold for an extended period, which we expect to be reflected in this week’s forward guidance, given the US-Iran conflict.

The CEE market saw strong hawkish repricing last week, not only due to Friday's US job data. Market pricing has returned to almost three rate hikes in Poland and almost four rate hikes in the Czech Republic in the one-year horizon. Despite the support of higher local rates, a stronger US dollar is, however, setting the direction for FX in CEE. The region is following the EM sell-off, erasing gains from the previous days. At the same time, the risk-off mood coming from the global equity and rates markets suggests more pain for the CEE region in the days ahead. At the moment, the Polish zloty appears to be the most vulnerable currency in the region, given the dovish National Bank of Poland story, with scope to test the upper end of its current 4.225–4.265 range.

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Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively

Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. A major part of global fertiliser and fertiliser feedstock remains exposed. While an extension of the ceasefire could see a resumption in flows, the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of 'the beginning of a systemic agrifood shock that could trigger a severe global food price crisis'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

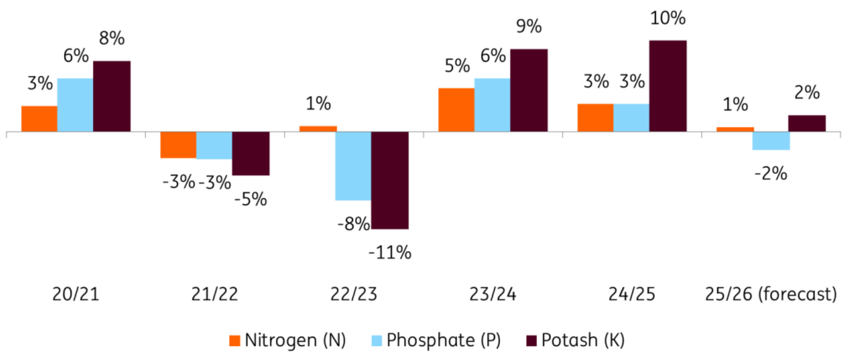
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use

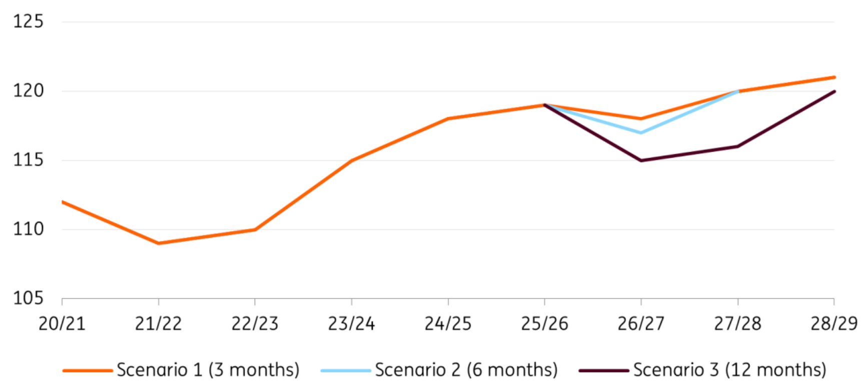


Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its Fertiliser Action Plan, which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute (IFPRI). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely $4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

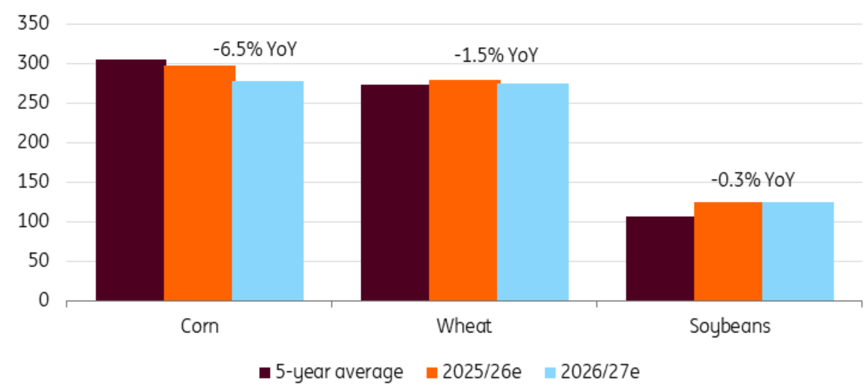
> stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

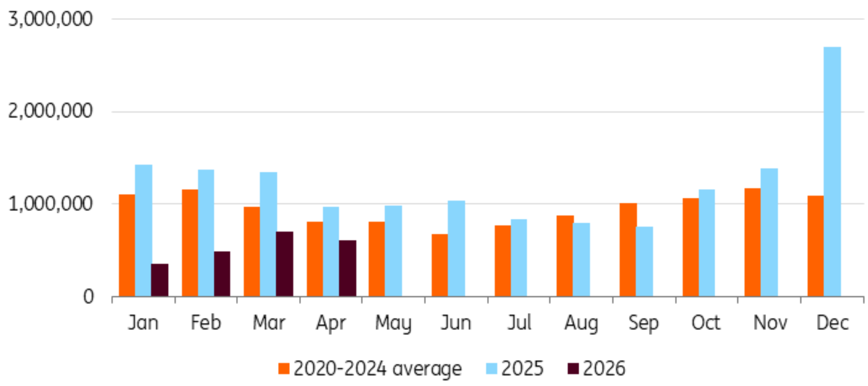
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration is forecasting an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers - several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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